

Outlook

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Follow-up: prove the early-warning model cannot see the future

Morning,

I need help with something that sounds simple but probably is not.

The proposed repayment-stress model combines monthly snapshots, and Model Risk needs proof that every feature existed at the observation date. The discussion is currently being driven by anecdotes, and the teams involved are describing the same customers differently.

The questions I would ask in the room are:

1. What would we expect to see if monthly snapshots duplicate later knowledge?
2. What evidence would instead support that status or collections fields leak future outcomes?
3. How do we rule out that performance is stable after strict time-based validation?

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use April 2023 as the new evidence point rather than recycling the earlier conclusion. Please work towards whether the model can enter validation or must return to feature engineering. A useful output would be a Power BI page with drill-through to a reproducible case list.

Use the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations; collections cases, promises to pay and recovery payments; monthly account snapshots, status events, limits, product enrolments and signatories. One caution: Use out-of-time validation and preserve event timestamps; do not random-split repeated observations of the same customer.

Regards